

Bases of Accounting

I Very Short Answer Questions:-

Q1 What is cash basis of accounting?

Ans It records transactions only when cash is actually received or paid. Revenues are recognized on receipt, and expenses on payment. It ignores credit transactions, making it simple but less accurate for showing the true financial position of a business.

Q2 What is accrual basis of accounting?

Ans It records revenues when earned and expenses when incurred, regardless of cash flow. This method matches income with related costs, giving a true picture of financial performance and position. It is widely used by businesses for accuracy and statutory reporting.

Q3 In which basis of accounting outstanding expenses are not recorded?

Ans Outstanding expenses are not recorded under the cash basis of accounting, because this method considers only actual cash payments and receipts. Since outstanding expenses involve obligations not yet paid, they are ignored, making cash basis simple but less accurate for showing liabilities.

Q4 Write two advantages of accrual basis of accounting.

Ans • True Financial Position: Records all incomes and expenses when they occur, giving accurate profit/loss.

• Better Decision-Making: Matches revenues with related costs, helping managers and stakeholders plan effectively.

Q5 Differentiate between cash basis of accounting and accrual basis of accounting on the basis of recording of income.

Ans • Cash Basis: Income is recorded only when cash is actually received, regardless of when it is earned.

• Accrual Basis: Income is recorded when it is earned, whether cash is received or not.

II Short Answer Questions:-

Q1 Name the script followed in accounting process.

Ans The accounting process follows the Double Entry System of Bookkeeping. In this script, every transaction has two aspects - debit and credit - which are recorded simultaneously. This ensures accuracy, completeness, and a scientific record of financial data. It helps maintain the accounting equation ($\text{Assets} = \text{Liabilities} + \text{Capital}$) and provides a reliable basis for preparing financial statements.

Q2 Give any five points of differences between cash basis and accrual basis of accounting.

Ans	Basis	Cash Basis	Accrual Basis
a	Prepaid/outstanding Expenses Accrued Income Income Received in Advance	Prepaid and outstanding expenses are accounted in the Profit & Loss account. Accrued Income and income received in advance are accounted and shown in the Balance Sheet.	Prepaid and outstanding expenses are not adjusted. Similarly, accrued income and income received in advance are not adjusted.
b	Nature of transactions	Both cash and credit transactions are recorded.	cash transactions are recorded.
c	Profit or Loss	Correct profit or loss is ascertained because it records both cash and credit transactions.	Correct profit or loss is not ascertained because it records only cash transactions.
d	Legal Position	Accrual Basis of Accounting is recognised by the Companies Act.	Cash Basis of Accounting is not recognised by the Companies Act.
e	Acceptability	Basis is more acceptable as it reveals income expenses besides assets and liabilities.	Basis of Accounting is less acceptable as it does not reveal the required information.

Q3 Mr. Radhey-----Accounting.

Ans Cash Basis of Accounting

<u>Revenue</u>	
Cash Sales	22,00,000
Income Received	2,00,000
(A)	24,00,000

<u>Expenses</u>	
Cash Purchases	10,00,000
Expenses paid	7,00,000
(B)	17,00,000

Net Profit as per Cash Basis

$$A - B = 10,00,000$$

Accrual Basis of Accounting

<u>Revenue</u>	
Cash sales	22,00,000
Credit sales	6,00,000
Income Received	2,00,000
(-) Income received in advance	10,000
(+) Income due but not received	28,000
(A)	30,18,000

Expenses		10,00,000
Cash purchased		7,50,000
Credit purchased		
Expenses paid	4,00,000	
Expense paid in advance	15,000	
	3,85,000	

Add: Expenses due		4,60,000
At not paid	75,000	
	(B)	22,10,000

Profit at per Accrual basis		8,05,000
(A-B)		

24 Mr. Raji ----- Accounting

23 Cash Basis of Accounting

Revenue		
Cash sales	15,00,000	
Income Received	25,000	
	(A)	15,25,000

Expenses		
Cash Purchased	9,00,000	
Salary	77,000	
Electricity	7,000	
Rent Paid	10,000	
Insurance Exp.	20,000	
		10,97,000
	(B)	10,97,000

Profit = A-B		4,28,000
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Accrual Basis of Accounting

Revenue		
Cash sales	15,00,000	
Credit sales	70,000	
Income received	25,000	
- Advance	4,000	
+ Accrued	3,000	24,000
	(A)	22,40,000

Expenses		
Cash Purchased	9,00,000	
Credit Purchased	3,00,000	
Salary	77,000	
+ o/c	7,000	84,000
Electricity	40,000	
+ o/s	8,000	48,000
Rent paid		60,000
Insurance	20,000	
- Prepaid	5,000	15,000
	(B)	14,07,000

Profit (A-B)		8,17,000
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